on 20 February 2015, and next, the amendment to the RBI Act in February 2016.

This was not a small reform. This was the biggest milestone in RBI's history. It is fitting that alongside the introduction of a 4 per cent consumer price index (CPI) target into the RBI Act, the text in the preamble to the RBI Act which established the RBI in 1934 as 'a temporary measure' was simultaneously deleted.

This was a long and slow journey for the RBI—from a temporary measure in 1934 to the first intellectual clarity in the early years of the millennium to the modified RBI Act in 2016. Policymakers developed a strategy and gradually executed it, in a completely open process, to the point where, at the end, it was an inevitable non-event.

From date of announcement to date effective

From these points of view, it is particularly important to ensure there is a substantial lag between the date of a policy announcement and the date on which it becomes effective.

One of the most harmful things that is taking place in the Indian state is announcements that show up on a website in the evening, without any previous notice, and are effective next morning. These impose huge costs upon private persons, and drive up the ex ante fear of policy risk in the minds of firms.

Professional capabilities in public policy

There is a pattern in the Indian story, where weak policy teams tend to operate in a more secretive way. There seems to be a lack of confidence in being able to win arguments in the public domain. The weakest ideas are hatched in secrecy and suddenly sprung upon the economy.